

26STCV00495 26STCV00495

County: los-angeles

Division: Civil Law and Motion

Department: 734

Hearing date: 2026-08-05

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Case Number: 26STCV00495 Hearing Date: August 5, 2026 Dept: 734

The

following tentative ruling is issued pursuant to Rule of Court 3.1308 at 2:07 PM on August 4, 2026.

Rule

of Court 3.1308(a)(1) provides that a “tentative ruling will become the ruling of the court if the court has not directed oral argument by its tentative ruling and notice of intent to appear has not been given.”

The

Court does not desire oral argument on the motion addressed herein. Notice of intent to appear is REQUIRED pursuant to California Rule of Court 3.1308(a)(1).

No

later than 4:00 p.m. on August 4, 2026, the moving and opposing parties must provide notice to ALL OTHER PARTIES and the staff of Department 734 whether the party intends to (1) appear and argue the motion, or (2) submit to the tentative ruling.

Notice to Department 734 should be sent by

email to , with opposing parties copied on the email. The high volume of telephone calls to Department 734 may delay the Court's receipt of notice, so telephonic notice to 213-830-0776 should be reserved for situations where parties are unable to give notice by email.

Plaintiff alleges that it was

fraudulently induced to invest in a motion picture which was never produced.

Instead, Defendants used Plaintiff's investment for their own purposes unrelated to the motion picture.

Defendant Renee Tab demurs to the
Complaint and moves to strike portions thereof.

TENTATIVE RULING

The
Court orders the First Amended Complaint filed on July 29, 2026 stricken
pursuant to Code Civ. Proc. § 436(b) as having been filed in violation of Code
Civ. Proc. § 472(a).

Defendant Renee Tab's demurrer to
the Complaint is OVERRULED as to the third and seventh causes of action. The
demurrer is SUSTAINED with leave as to the fourth and sixth causes of action.

Defendant's motion to strike is GRANTED
with leave to amend as to ¶ 25, Prayer for Relief ¶7 seeking attorneys fees,
and ¶¶ 19 through 22 of the Complaint. The motion to strike is GRANTED without
leave to amend as to the demand for legal fees in ¶ 110 (Bus. & Prof.
Code § 17200). The motion to strike is DENIED as to "Prayer for Injunctive
Rights."

Plaintiff is given 30 days' leave to
amend were indicated.

ANALYSIS

As
pointed out by Defendant in her objection, on July 29, 2026, Plaintiff filed a
First Amended Complaint. This was untimely relative to the August 5, 2026
hearing date. Code Civ. Proc. § 472(a) permits the filing of an amended
complaint no later than the date for filing an opposition to the demurrer,
i.e., nine court days prior. (Code Civ. Proc., § 1005(b).) The First Amended
Complaint was filed only five court days prior to the hearing date. As such,
the Court orders the First Amended Complaint filed on July 29, 2026 stricken
pursuant to Code Civ. Proc. § 436(b) as having been filed in violation of Code
Civ. Proc. § 472(a).

In
this regard, the Oppositions were also filed late and will be disregarded. The
Court has discretion to disregard a late-filed paper. (Cal. Rules of Court,

Rule 3.1300(d).)

The Court

will address the demurrer and motion to strike by analyzing the allegations of the original Complaint.

Demurrer To Complaint

Meet

and Confer

The Declaration of Jeffrey Konvitz

reflects that Defendant's counsel satisfied the meet and confer requirement set forth in Civ. Proc. Code, § 430.41.

Discussion

Defendant Renee Tab demurs to the Complaint as follows:

1. Third Cause of Action (Intentional Misrepresentation).

Defendant argues this cause of action does not plead the elements of intentional misrepresentation as against Defendant Tab, nor justifiable reliance.

"To establish a claim for deceit based on intentional misrepresentation, the plaintiff must prove seven essential elements: (1) the defendant represented to the plaintiff that an important fact was true; (2) that representation was false; (3) the defendant knew that the representation was false when the defendant made it, or the defendant made the representation recklessly and without regard for its truth; (4) the defendant intended that the plaintiff rely on the representation; (5) the plaintiff reasonably relied on the representation; (6) the plaintiff was harmed; and (7) the plaintiff's reliance on the defendant's representation was a substantial factor in causing that harm to the plaintiff. (Citations omitted.)" (*Manderville v. PCG&S Group, Inc.* (2007) 146 Cal.App.4th 1486, 1498 [*italics omitted*].)

“ ‘Besides actual reliance, [a] plaintiff must also show “justifiable” reliance, i.e., circumstances were such to make it reasonable for [the] plaintiff to accept [the] defendant’s statements without an independent inquiry or investigation.’ [Citation.] The reasonableness of the plaintiff’s reliance is judged by reference to the plaintiff’s knowledge and experience. [Citation.] ‘ “Except in the rare case where the undisputed facts leave no room for a reasonable difference of opinion, the question of whether a plaintiff’s reliance is reasonable is a question of fact.” [Citations.]’ [Citation.]” (OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp. (2007) 157 Cal.App.4th 835, 864–865 [68 Cal. Rptr. 3d 828].) “Reliance can be proved in a fraudulent omission case by establishing that ‘had the omitted information been disclosed, [the plaintiff] would have been aware of it and behaved differently.’ ” (Boschma v. Home Loan Center, Inc., supra, 198 Cal.App.4th at pp. 250–251.)

(West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 794 [bold emphasis added].)

Here, whether Plaintiff’s reliance as an LLC was reasonable in light of the circumstances is a question of fact, based upon Plaintiff’s knowledge and experience with investing in motion pictures.

While Plaintiff does not allege misrepresentations made by Tab, Tab concedes in the demurrer that alter ego is a viable theory. Here, the Complaint sufficiently pleads alter ego against Defendant Tab at ¶ 13, such that she may be held liable for the entity Defendants’ misrepresentations.

Alter ego may be a basis to hold alter ego individuals liable for torts of the corporation. (Helfrich v. Kerley (1961) 192 Cal.App.2d 726, 729.) Alter ego allegations may be pled generally and the principal factors for piercing the corporate veil—individual dominated the affairs of the corporation, unity of interest and ownership, corporation is a mere shell, diversion of income, inadequate capitalization, failure to issue stock and observe corporate formalities, adherence to fiction of separate corporate existence would work an injustice—may be alleged in conclusory terms and plaintiff may be given an opportunity to present evidence to support these allegations. (First

Western Bank & Trust Co. v. Bookasta (1968) 267 Cal.App.2d 910, 914-16.)

Defendant's
demurrer is not successful.

The demurrer to the third cause of
action is OVERRULED.

2. Fourth Cause of Action (Negligent
Misrepresentation).

Defendant argues this cause of
action does not plead the elements of negligent misrepresentation as against
Defendant Tab, nor justifiable reliance.

"The elements of negligent misrepresentation are '(1) the
misrepresentation of a past or existing material fact, (2) without reasonable
ground for believing it to be true, (3) with intent to induce another's
reliance on the fact misrepresented, (4) justifiable reliance on the
misrepresentation, and (5) resulting damage.' (Citation omitted.)" (National
Union Fire Ins. Co. of Pittsburgh, PA v. Cambridge Integrated Services Group,
Inc. (2009) 171 Cal.App.4th
35, 50.)

Moreover,

"[t]o be
actionable, a negligent misrepresentation must ordinarily be as to past or
existing material facts. '[P]redictions as to future events, or statements as
to future action by some third party, are deemed opinions, and not actionable
fraud.' (Citation omitted.)" (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 158.) There is no cause of
action for a negligent
false promise. (Id. at 159: "Simply put, making a
promise with an honest but unreasonable intent to perform is wholly different from
making one with no intent to perform and, therefore, does not constitute a
false promise.")

Here, the negligent
misrepresentation cause of action is based upon future events, which constitute
a negligent false promise that is not recognized in California:

- a. Samuel L. Jackson would star in the Film;
- b. that a completion bond had been or would be imminently secured, with Plaintiff named as a beneficiary;
- c. that Ortolan possessed all necessary rights in and to the screenplay to produce the Film;
- d. that Kenny Leon would direct the Film;
- e. that the budget for the Film, including the Equity Investment, would be allocated exclusively to pre-production, production, and post-production expenses directly related to the Film; and,
- f. that principal photography of the Film would begin on or about November 13, 2023.

(Complaint, ¶ 70(a) – (f).)

The demurrer to the fourth cause of action is SUSTAINED with leave to amend.

3. Sixth Cause of Action (Fraudulent Concealment).

Defendant argues that the Complaint does not plead a duty to disclose on the part of Defendant Tab.

[T]he elements of a cause of action for fraud based on concealment are: “ ‘(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. [Citation.]’ [Citation.]” (Citation omitted.)

(Kaldenbach v. Mutual of Omaha Life Ins. Co. (2009) 178 Cal.App.4th 830, 850.)

"There are 'four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. [Citation.]' " (Citations omitted.) Where, as here, there is no fiduciary relationship, the duty to disclose generally presupposes a relationship grounded in "some sort of transaction between the parties. [Citations.] Thus, a duty to disclose may arise from the relationship between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.]" (Citation omitted.)

(OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp. (2007) 157 Cal.App.4th 835, 859.)

The Complaint alleges

82. Plaintiff was induced to enter into the Agreement and contributed the Equity Investment in reliance on numerous representations of material facts relating to the production of the Film, made by Ortolan, Sentient, Tab, and Tuffin.

83. To the extent that any such representations were true at the time they were made, Ortolan, Sentient, Tab, and Tuffin nevertheless intentionally failed or refused to disclose to Plaintiff that such representations had thereafter become untrue. For example, Ortolan, Sentient, Tab, and Tuffin intentionally concealed from Plaintiff:

a. The fact that Samuel L. Jackson would not star in the Film;

b. The fact that Kenny Leon would not direct the Film;

c. The fact that Ortolan was not the sole owner of the rights to the Screenplay;

d. The fact that principal photography of the Film would not occur on November 13, 2023, or at a reasonable time thereafter;

e. The fact that the financing for the Film was not completed by the Equity Investment;

f. The fact that no completion bond was ever obtained; and,

g. The fact that the actual budget for the Film would be well in excess of \$14,979,000.

(Bold emphasis added.)

Plaintiff pleads that the misrepresentations because untrue after they were made. The problem is that reliance had already occurred at that time, i.e., Plaintiff had already made the \$250,000 investment on October 25, 2023. (Complaint, ¶ 2.)

“ [A]ctual reliance occurs when a misrepresentation is “ ‘an immediate cause of [a plaintiff’s] conduct, which alters his legal relations,’ ” and [*1063] when, absent such representation,’ the plaintiff” “would not, in all reasonable probability, have entered into the contract or other transaction.” ’ ” (Citation omitted.) To allege actual reliance with the requisite specificity, “[t]he plaintiff must plead that he believed the representations to be true ... and that in reliance thereon (or induced thereby) he entered into the transaction. [Citation.]” (Citation omitted.)

(Beckwith v. Dahl (2012) 205 Cal.App.4th 1039, 1062-63.)

The demurrer to the sixth cause of action is SUSTAINED with leave to amend.

4. Seventh Cause of Action
(Accounting).

Defendant argues that ¶ 91 of the Complaint is the predicate to the entire accounting clause. It states: "Under the Agreement, Ortolon is obligated to provide a detailed accounting of all expenses and costs related to the Film funded by Plaintiff's Equity Investment.' To the contrary, there is no such accounting obligation to Plaintiff under the Agreement. ¶ 12 of the Agreement provides that if there is no CAMA[1] (and the Complaint has not alleged there is a CAMA), then accounting and audit rights begin: "in the first Calendar quarter in which Gross Receipts are received."

There is no pleading that Gross Receipts were received. In fact, there could be no Gross Receipts as the Picture has not been made, which is clearly set forth time and again throughout the Complaint. Secondly, there was no obligation for Sentient to give Plaintiff an accounting. The Agreement is between Plaintiff and Ortolon and does not include Sentient so this portion of the allegations is way off base. Finally, Plaintiff may be referring to Agreement ¶5(e) which gives conflicting audit and accounting rights with respect to Recoupment of Plaintiff's Investment and Net Profits under ¶¶5(a), 5(b) and 5(c). Beyond being duplicative of ¶12, Plaintiff pleads that no picture has been made and, thus, it cannot be financially exploited so there can be no recoupment or net profits and these provisions also do not apply to this cause of action.

A cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. (Citations omitted.)

An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation. (Citation omitted.) A plaintiff need not state facts that are peculiarly within the knowledge of the opposing party. (Citation omitted.)

(Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179.)

[A] fiduciary relationship between the parties is not required to state a cause of action for accounting. All that is required is that some relationship exists that requires an accounting.

(Citation omitted.) The right to an accounting can arise from the possession by the defendant of money or property which, because of the [*180] defendant's relationship with the plaintiff, the defendant is obliged to surrender.

(Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179-80 [bold emphasis added].)

Here, while

Defendant cites a contractual provision giving the right to an accounting of profits (Finance Agreement, ¶ 12: Gross and Net Receipts [Exh. A to Complaint], this does not preclude a right to an accounting of the investment Plaintiff made based on the contractual relationship between the parties. Defendant Tab concedes potential alter ego liability. ¶ 96 alleges that "Plaintiff is unable to determine how the Equity Investment was used in connection with the Film."

This

right is inherent in ¶ 4 of the Finance Agreement, which provides:

4. Use of

Funds. Producer may use the Equity Investment solely to pay or reimburse costs and expenses of any kind or nature in connection with the pre-production, production and post-production expenses directly allocable to the Picture and shall not use the Equity Investment for any other purposes. Producer and the Bond Company shall keep accurate and complete books and records of the use of the Equity Investment for a period of at least five (5) years from the initial release of the Picture in any media.

(Bold emphasis added.

This cause of action is sufficiently
pled.

The demurrer to the seventh cause of
action is OVERRULED.

Motion

To Strike

Meet

and Confer

The Declaration of Jeffrey Konvitz

reflects that Defendant's counsel satisfied the meet and confer requirement set forth in Civ. Proc. Code, § 435.5.

Discussion

Defendant Renee Tab moves to strike the following portions of the Complaint.

1. The

entirety of ¶ 25 which reads:

25. Defendants further misrepresented to Plaintiff that a completion bond, required by the Agreement would be obtained, and, later, that it had been obtained. During negotiations for the Agreement, on or around October 12, 2023, Defendants' counsel Jere Hausfater represented to Plaintiff that "the bond company will be in control of the production whether [finishing] the picture or abandoning the picture and reimbursing all financiers of the picture. We can make Happy a beneficiary to the bond which should resolve yur [sic] issues in these paragraphs." This assurance led Plaintiff to agree to remove certain protective provisions from the Agreement, including but not limited to, the return of the Equity Investment in the event that Defendants failed to initiate principal photography. Defendants, however, knew that these representations were false at the time they were made. Defendants also knew they had not yet obtained the bond, and they likely would not obtain one in the near future, if at all, but failed to disclose this to Plaintiff, in order to obtain Plaintiff's assent to changes to the proposed Agreement. In furtherance of their misrepresentation, Defendants provided Plaintiff with a letter of intent, dated August 31, 2023, between Ortolan and UniFi, the purported bond surety, under which UniFi acknowledged Ortolan's intent to obtain a completion bond relating to the Film. This bond was never obtained, despite being required in the Agreement.

Defendant argues that ¶27 of the

Agreement (Exhibit A) is clear as a bell. It reads as follows: "Upon the full closing of the financing of the Picture, Financier will become and producer shall make and cause Financier to be recorded as, a named beneficiary for completion and delivery of the Picture with the Bond Company under the same

general terms as granted to all other beneficiary parties to the Bond Company.

Defendant argues that the Complaint does not allege that finance closed.

The Court agrees that Plaintiff must allege that financing closed so as to trigger ¶ 27's obligation to make Plaintiff a beneficiary of the bond.

The motion to strike ¶ 25 of the Complaint is GRANTED with leave to amend.

2. The Demand for Legal fees in Complaint ¶ 110.

Defendant argues that attorneys fees are not recoverable pursuant to Bus. & Prof. Code § 17200. This argument is successful.

"The UCL does not authorize an award of attorney fees. No exception exists for UCL actions predicated on a statute that authorizes such an award." (People ex rel. City of Santa Monica v. Gabriel (2010) 186 Cal.App.4th 882, 891.)

The motion to strike the request for attorney's fees is GRANTED without leave to amend.

3. The Complaint's prayer for injunctive rights against Ortolon must be struck.

Defendant argues that Plaintiff waived the right to seek injunctive relief under ¶ 31 of the Agreement and there is nothing left to enjoin.

The Finance Agreement reads:

31. Remedies. In the event of breach of this Agreement by Producer or in the event of any dispute with Producer regarding this Agreement, Financier's remedies shall be limited to seek damages at law subject to the limitations set forth herein and in no event shall Financier have not the right

to seek injunctive relief against Producer, the Picture, and/or any distributor of the Picture and any allied and ancillary rights thereto.

However, the prayer for relief does not seek injunctive relief. Moreover, Ortolon is not the moving party relative to this motion.

The motion to strike injunctive rights against Ortolon is DENIED.

4. Complaint Prayer for Relief ¶7 seeking attorneys fees .

"[A]s a general rule, attorney fees are not recoverable as costs unless they are authorized by statute or agreement." (People ex rel. Dept. of Corporations v. Speedee Oil Change Systems, Inc. (2007) 147 Cal.App.4th 424, 429.)

The motion to strike ¶ 7 for attorneys' fees is GRANTED with leave to amend. Plaintiff must allege a contractual basis to recover attorney's fees against Defendant Tab.

5. ¶¶ 19 through 22 of the Complaint should be struck as irrelevant.

Defendant cites Recital D of the Agreement which states: "The company which now owns and controls the copyright in the Picture is the Producer." Defendant argues that there is no legal obligation for a party which takes a option in a literary property or purchases the literary property must file the option or purchase document with the Copyright Office.

¶¶ 19 – 22 allege:

19. To Plaintiff's knowledge, Last Meals was registered with the U.S. Copyright Office by Justin Piasecki as Claimant, effective as of August 4, 2023, with the registration approved on August 25, 2023. No records purporting to reflect assignment of the copyrighted Screenplay, to Ortolan, were filed with the U.S. Copyright Office thereafter.

20. Shortly after the execution of the Agreement, however, a Copyright Mortgage and Assignment document was recorded on November 7, 2023, with the U.S. Copyright Office between Ortolan Productions LLC and GMC Last Meals, LLC, Doc. No. V15019D801, covering two works: 1. Last Meals; Motion Picture and 2. Last Meals; Screenplay – the Film and the Screenplay, respectively.

21. Following that filing, on December 12, 2023, two additional copyright mortgages were recorded with the U.S. Copyright Office, further encumbering the Film and Screenplay. The first was between GMC Last Meals, LLC and GEM Entertainment KFT., Doc. No. V15020D662, and the second was between GMC Last Meals, LLC and Film & TV House Limited, Doc. No. V15020D663.

22. On information and belief, there is no registered copyright for Last Meals as a motion picture, nor could any such copyright exist to be assigned or mortgaged, as the work has not yet been filmed. The Copyright Act defines “motion pictures” as “audiovisual works consisting of a series of related images which, when shown in succession, impart an impression of motion, together with accompanying sounds, if any.” 17 U.S.C. § 101

The Court agrees that the purposes of these allegations is unclear. Plaintiff may amend to clarify.

The motion to strike ¶¶ 19 – 22 is GRANTED with leave to amend.

Plaintiff is given 30 days’ leave to amend were indicated.

[1] Collection

Agency Management Account. Agreement, ¶ 5(c).